



Paramount Communications (PARACABLES)

Horizon: Swing (1-4 wk) · Bias tested: Neutral · As of 03 Jun 2026

AVOID (CHASE)

CMP ₹65.9	52W H / L ₹70.95 / ₹28.30	MKT CAP ₹2,011 Cr	P/E (TTM) VS SECTOR 33.7× vs ~45× peers	ROE / ROCE 8.0% / 12.4%
PROMOTER (Δ, PLEDGE) 49.2% (-12.9pp/3y, 0 pledge)	FII / DII 0.51% / 0.11%	BETA ~1.3 (approx)	ADV N/A – verify	NET DEBT ~₹100 Cr (LT debt ₹1.5 Cr)

⚡ PRIMARY CATALYST — THE REASON IT MOVES NOW

EGM on 6 Jun 2026 to clear a ₹122.63 Cr preferential issue — 2.20 cr equity shares to non-promoter investors plus 72 lakh promoter warrants, all at ₹42 — that funds the ₹300 Cr Narmadapuram (MP) EHV-cable greenfield plant.

CATEGORY	QUANTIFIED IMPACT	PROBABILITY	WINDOW
Capital Action / Capex	~₹2.92 cr new shares ≈ 9-10% dilution at a 36% discount to CMP; underwrites ₹500 Cr FY28 → ₹1,200 Cr FY29 sales ramp	H promoter-led, 49% holds	EGM 6 Jun 2026; plant first output ~Dec 2026

Priced in? Largely. Stock is +64% in 6 months and sits at the 52W high, so the EHV growth narrative and a near-certain EGM pass are already in the tape — leaving "sell-the-news" risk on a low-surprise vote. The un-priced part is execution (Dec-2026 commissioning) and whether gross margin recovers. · Source: BSE/EGM notice + corrigendum (May 2026); Q4 FY26 earnings release 23 May 2026

BULL

₹76-80

EGM clears, strategic non-promoter allottee read as validation; breakout & hold above ₹71 (+15-21%).

BASE

₹63-68

Known event; consolidates near highs as dilution offsets growth optimism (±5%).

BEAR

₹54-58

Dilution + margin-erosion + quant SELL pull it toward fair value ₹52-54 (-12 to -18%).

PARACABLES is an EHV-cable capacity-expansion re-rating story — the 6-Jun preferential issue funds the ₹300 Cr MP plant behind a FY28-FY31 growth ramp — but the stock has already run 64% to 34× earnings on single-digit ROE with eroding gross margins, so risk/reward into a low-surprise EGM is balanced, not directional.

CATALYST LADDER — SECONDARY TRIGGERS, RANKED BY IMPACT × PROBABILITY

TYPE	EVENT	QUANTIFIED IMPACT	PROB	TIMELINE	SOURCE / DATE
Capex	Narmadapuram EHV greenfield, ~₹300 Cr	Targets ₹500 Cr FY28 → ₹1,200 Cr FY29 sales; part of ₹5,000 Cr FY31 vision	M	First output ~Dec'26; ramp FY28	Wire&Cable India / concall, May'26
Demand	India T&D / transmission capex driving EHV demand	Order book ₹583 Cr (₹508 Cr dom + ₹76 Cr exports) at 31-Mar-26	M	Ongoing	Q4 FY26 release, 23-May-26
Input cost	Copper/aluminium (60-70% of cost) reversal	Gross margin recovery from 5.46% (was 8.62% Dec'24) → direct PAT leverage	M	Ongoing	MarketsMojo, May'26
Order wins	Fresh EHV / specialised-conductor orders	Replenishes/grows ₹583 Cr book; needed to fill new capacity	M	Quarterly	Q4 FY26 release

TYPE	EVENT	QUANTIFIED IMPACT	PROB	TIMELINE	SOURCE / DATE
Ownership	Promoter warrants subscribed at ₹42 (₹30.2 Cr)	25% (₹10.5) upfront, conversion ≤18m — skin-in-game signal vs -12.9pp 3-yr promoter drift	L	Post-EGM, ≤18 months	EGM notice, May'26
Export	US cable-market entry opportunity	Optionality; no firm contracts disclosed yet	L	FY27+	CableCommunity, May'26
Technical	At 52W high ₹70.95	Hold above ₹71 = momentum continuation; failure = double-top / mean-revert	M	Near-term	Price action, Jun'26

WHAT THE STREET IS PRICING IN

Effectively no formal sell-side coverage — combined FII+DII holding is just ~0.6%, so this trades on retail flow and quant screens, not consensus. **IN the price:** the EHV growth vision and a +64% six-month re-rating to ~34× TTM EPS (₹1.96). **NOT in the price:** proof of gross-margin recovery, dilution drag on EPS, and execution of the Dec-2026 plant. The lone quant read (MarketsMojo) is **SELL**, fair value ₹52–54 (9–12% downside). Consensus FY27/FY28 EPS targets: **N/A** (no analyst coverage).

RISKS TO WATCH

RISK	TRIGGER	DOWNSIDE	PROB
Margin erosion	Copper/Al spike, no pricing power; GM 5.46% vs 8.62% YoY	-15-20%	H
Dilution / value transfer	2.92 cr shares at ₹42 vs ₹66 CMP	~10% EPS	H
Valuation de-rating	34× P/E on ~8% ROE; quant SELL to ₹52–54	-15-20%	M
Execution slippage	Dec'26 plant delay / FY28 ramp miss	-12-18%	M
Liquidity / no anchor	~0.6% institutional; smallcap air-pockets	qualitative	M
Promoter drift / governance	Holding -12.9pp over 3y; high other income (₹51 Cr)	qualitative	L

KEY LEVELS & TRADE FRAME

Entry zone	₹60-64 (pullback / breakout retest)
Stop (below fair-value floor)	₹54
Target 1 / Target 2	₹71 / ₹80
R:R · suggested size	~1.1:1 (T1) / 2.2:1 (T2) · 1-2%

Levels approx — verify on chart (no live DMA feed). Stop ₹54 = loss of preferential floor-zone & quant fair value; below it the re-rating thesis is broken. Poor T1 R:R reflects an extended, event-known setup.

CATALYST CALENDAR

DATE	EVENT
06 Jun 2026	EGM — vote on ₹122.63 Cr preferential issue (equity + warrants)
~Aug 2026	Q1 FY27 results — watch gross-margin recovery
~Dec 2026	Narmadapuram plant — targeted first commercial production
≤18 mo	Promoter warrant exercise window (₹42 conversion)
Q1 FY28	Plant commissioning / ₹500 Cr FY28 revenue ramp begins

AVOID (CHASE)

Real growth optionality (₹300 Cr EHV plant, ₹583 Cr order book, T&D tailwind) but the stock has already run 64% into a low-surprise EGM, trades at 34× on ~8% ROE with eroding margins, and offers only ~1.1:1 R:R to the first target — wait for a pullback into ₹58–62. **Flips the call:** a clean breakout-and-hold above ₹71 on volume *with* Q1 gross-margin stabilisation → TACTICAL LONG; conversely a daily close below ₹54 → TACTICAL SHORT toward ₹52–54.

MPM · SCREEN — ANALYZE — INVEST

For information only — not investment advice or a solicitation. PARACABLES is a low-coverage smallcap with thin institutional ownership; position sizing and live-chart confirmation are essential. Verify all figures against the latest exchange filings before acting.

Sources: BSE/NSE EGM notice + corrigendum (May 2026); Paramount Q4 & FY26 earnings release 23-May-2026; Q4 FY26 concall coverage (GuruFocus, May'26); Wire&Cable India / CableCommunity (May'26, MP greenfield); Screener.in & MarketsMojo (data as of ~29-May-2026). Stale vendor reads cross-checked: price × shares ≈ market cap (₹65.9 × ~30.5 cr ≈ ₹2,011 Cr). NSE 29-May close ₹68.75 noted; ADV unverified → N/A.

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